

Paradiem

The Morning Brief

SEPTEMBER 5, 2026

Hot Reset

Weekend Edition — a hot August payrolls print (162K vs ~56K consensus) reversed the Waller pause trade, lifted September hike odds back near 60%, and opened a Fed quiet period that runs through the FOMC.

S&P 500 (SPY, FRI CLOSE)	AUG PAYROLLS (BLS)	BITCOIN (LIVE, SAT AM)	WTI (USO)	FEAR & GREED (CNN)
\$770.19 · ↓0.39% Fri · ~flat WoW	+162K · vs ~53–56K consensus	~\$77–80K range · off Fri intraday highs	\$141.96 · Iran risk premium held	~43 · Fear (drop crypto fallback)

SECTION 01

Markets — Week in Review

THE WEEK TURNED ON TWO FED-PATH EVENTS: WALLER’S WEDNESDAY CONDITIONAL PAUSE SIGNAL, THEN FRIDAY’S HOT AUGUST PAYROLLS PRINT THAT CEMENTED THE HIKE BID BACK IN

The week compressed two opposing rate-path signals into three sessions. Fed Governor Waller’s Wednesday remarks pushed September hike odds from roughly 66% toward the mid-50s per CME FedWatch coverage on CNBC and drove Thursday’s broad rally led by financials, crypto, and precious metals. Friday’s August employment situation report reversed that setup: nonfarm payrolls printed at approximately ↑162,000 versus a roughly ↑53,000–56,000 sell-side consensus range per BLS and Reuters coverage on Yahoo Finance and CNBC, with the unemployment rate steady at 4.1% and average hourly earnings growth at approximately 3.1% year over year. Per Reuters coverage cited on Yahoo Finance, June and July payrolls were revised up by approximately 55,000 combined. Per CME FedWatch coverage on Reuters, September hike probabilities moved back near approximately 60% following the print, from roughly 49% pre-report. For FCI positioning, the composition — two opposing Fed-path signals inside three sessions and a Fed communications quiet period beginning today — sequences the August CPI release on September 11 into the September 15–16 FOMC as the last direct pre-decision inflation read.

S&P 500 (FRI CLOSE)	7,718.60 index · ~↑0.1% WoW per Reuters
DOW / NASDAQ WOW	↓0.3% / ↑0.4% per Reuters
WTI CRUDE WOW	~↑8.8% · strongest week since July per Reuters
BRENT CRUDE WOW	~↑6–8% on Iran supply premium
GOLD (GLD, FRI CLOSE)	\$406.77 · ↓0.84% Fri after Thu ↑1.85%
IBIT / ETHA (FRI CLOSE)	\$45.23 ↓2.42% / \$18.52 ↓2.63%
CME SEPT HIKE ODDS	~60% post-payrolls · from ~49% Thu
FED QUIET PERIOD	Begins Sat Sept 5 · through Sept 17

TRUMP PUBLICLY DEMANDED RATE CUTS IN REACTION TO THE HOT PRINT, THREATENING TRADE RESTRICTIONS AGAINST DEFICIT COUNTRIES IF THE FED FAILS TO EASE — THE FED-INDEPENDENCE OVERHANG FROM CHAIR WARSH'S JACKSON HOLE REFERENCE CONTINUES ALONGSIDE A VISIBLE FOMC DISPERSION (WARSH HAWKISH, WALLER CONDITIONALLY DOVISH) INTO THE QUIET PERIOD

Per Reuters coverage carried on Yahoo Finance and Globe and Mail, President Trump reacted to the Friday payrolls print with a public demand for lower rates, threatening to halt trade with countries with which the US runs a trade deficit if the Fed does not comply — a posture that runs directly against the hot-payrolls read that pushed hike probabilities higher. Per prior brief coverage of the Fed-independence axis, Chair Warsh's Jackson Hole reference to a Treasury-Fed balance-sheet task force continues to sit alongside the visible dispersion Waller introduced Wednesday, and the Fed communications quiet period beginning today closes external Fed signaling ahead of the rate decision. For FCI positioning, the composition — a hot labor read that reset the near-term rate-path distribution, a public pressure campaign for cuts, and a quiet period that removes Fed-speaker channels — sequences the sleeve read through the CPI print alone into the September 15–16 FOMC.

A week that repriced the rate-path distribution twice in three sessions and closed with a Fed quiet period tends to concentrate risk in the single upcoming inflation print rather than diffuse it across incremental signals. Discipline over impulse.

Geopolitics — The Reactivated US-Iran Kinetic Exchange Extended Through Friday With Physical-Supply Signals Tightening Even as Continued Flow Kept the Strait of Hormuz Open; Oil Complex Recorded One of Its Strongest Weekly Moves of the Year, US Diesel Reached a Record High per Reuters, and the September 24 Trump-Xi Washington State Visit Sits Nineteen Calendar Days Ahead of the November 10 Kuala Lumpur Trade-Truce Expiry

MIDDLE EAST SEQUENCE: THE US-IRAN EXCHANGE CONTINUED THROUGH THE WEEK WITH ADDITIONAL US STRIKES AROUND BANDAR ABBAS AND QESHM ISLAND REPORTED PER NPR AND CBS NEWS, AN ONGOING ISRAEL-HEZBOLLAH FLASHPOINT AT THE ALI AL-TAHER RIDGE, AND SOUTH KOREA PUBLICLY REVIEWING MILITARY OPTIONS FOR THE STRAIT FOLLOWING MONDAY'S KOREAN-OWNED TANKER STRIKE — THE PHYSICAL-SUPPLY COMPOUND DROVE WTI TO ITS STRONGEST WEEK SINCE JULY PER REUTERS, WITH BRENT UP APPROXIMATELY 6.6% AND US DIESEL AT A RECORD HIGH

Per NPR, CBS News, RFE/RL, and Reuters coverage of the week's sequence, the reactivated US-Iran military exchange continued through Friday with additional US strikes reported across southern Iranian coastal areas including Bandar Abbas and Qeshm Island in the Strait of Hormuz, Iranian retaliation reported across Jordan, Bahrain, Kuwait, and Iraq per NPR, and an ongoing Israel-Hezbollah flashpoint around the Ali al-Taher ridge in south Lebanon with Iran publicly warning Washington against any Israeli operation there per Reuters. Per Reuters coverage carried in the data drop headlines, South Korea is publicly reviewing military options for the Strait of Hormuz following the Monday-evening projectile strike on a South Korean-owned tanker. Per Al Jazeera coverage of the physical-oil tape, US Energy Secretary Wright publicly noted that approximately 17 million barrels transited the Strait on the peak day of the exchange — described as the highest daily volume since the conflict began — and per Reuters coverage of the weekly commodity tape, WTI recorded approximately $\uparrow 8.8\%$ on the week (its strongest weekly performance since July) and Brent approximately $\uparrow 6-8\%$, with US diesel prices reaching a record high on the compounded conflict-and-supply dynamic. For FCI positioning, the composition — an active kinetic exchange with expanded multilateral response geography, record US diesel prices, and an oil complex that recorded one of its strongest weekly moves of the year even as continued flow undercut a pure supply-shock read — keeps the FCI energy sleeve (CVX, CNX, OKE) reading through the intersection of the physical-supply variable, the reset September rate-hike distribution, and the FOMC decision ten calendar days out.

THE SEPTEMBER 24 TRUMP-XI WASHINGTON STATE VISIT SITS NINETEEN CALENDAR DAYS AHEAD OF THE NOVEMBER 10 KUALA LUMPUR TRADE-TRUCE EXPIRY, AND THE ADMINISTRATION'S INCREMENTAL 7.5% OVERCAPACITY TARIFF ON CHINESE GOODS CONTINUES TO BE ENGINEERED AROUND THE XI VISIT; THE FOMC RATE DECISION ON SEPTEMBER 15-16 SITS AHEAD OF THE XI VISIT, MEANING THE TRADE-POLICY TRACK AND THE RATE-PATH TRACK REPRICE SEQUENTIALLY RATHER THAN SIMULTANEOUSLY

Per CSIS Trump-Xi 2026 Summits program coverage, the September 24 Xi Washington state visit sits nineteen calendar days from today, and per Bloomberg and Fortune coverage carried forward from prior briefs, the administration continues to prepare an incremental 7.5% overcapacity tariff on Chinese goods designed to bring the aggregate US-China tariff burden toward the roughly 20% level Beijing has signaled as consistent with the current truce, with the November 10 Kuala Lumpur truce expiry sitting further out. Per Federal Reserve calendar, the September 15-16 FOMC

sequences ahead of the Xi visit — a cadence that separates the trade-policy repricing window from the rate-decision repricing window. For FCI positioning, the composition — an active Iran physical-supply variable, a Fed quiet period that removes signaling channels through the September 17 close, an advancing US-China tariff track engineered around the Xi visit, and a public Fed-independence pressure campaign from the White House — extends the trade-and-geopolitical compound the sleeve has been reading into a defined multi-catalyst window.

UKRAINE'S DEEP-RANGE DRONE CAMPAIGN AGAINST RUSSIAN REFINERIES CONTINUES, RUSSIAN REFINING SITS NEAR MULTI-DECADE LOWS, THE RUSSIAN DIESEL EXPORT BAN REMAINS EXTENDED, AND MOSCOW STRUCK A DEAL WITH A SMALL KAZAKH REFINERY TO PROCESS RUSSIAN CRUDE PER RFE/RL — A TWO-SIDED PHYSICAL-FRICTION EXPRESSION NOW RUNS WITH THE MIDDLE EAST AXIS FIRMLY AT THE FRONT OF THE BOOK

Per RFE/RL coverage carried on GlobalSecurity.org and Wikipedia's Russian fuel crisis tracker, Ukrainian forces continue the deep-range refinery campaign, Russian oil refining sits near approximately 3.8 million barrels per day per Moscow Times coverage cited in prior briefs (approaching the lowest level in more than two decades), and Moscow has reached agreement with the Kondensat refinery in western Kazakhstan to process Russian crude with approximately 70% returned to Russia — a workaround that per RFE/RL coverage is unlikely to resolve the fuel crisis that has spread across at

least 78 Russian regions with 38 imposing gasoline rationing per Wikipedia's tracker. Per Ukrainska Pravda coverage of the Russian policy response, the Russian diesel export ban remains extended. For FCI positioning, the composition — a two-sided physical-friction expression with the Middle East axis at the front of the book against a Ukraine-Russia refinery track that continues to bleed Russian refining capacity — keeps the FCI energy sleeve reading through the intersection of physical supply, the reset September rate-hike distribution, and the middle-distillate signal at record US highs.

SECTION 03

On Our Radar

1. Week Ahead — The August CPI Print on Friday September 11 at 8:30 AM ET Is the Marquee Release of the Holiday-Shortened Week and the Last Direct Pre-FOMC Inflation Read; The August PPI on Thursday September 10 Sequences First, NFIB Small Business Optimism Publishes Tuesday, and the Fed Sits in the Communications Quiet Period Through September 17 — Meaning the CPI Print Concentrates the September 15–16 FOMC Rate-Path Repricing Into a Single Session Rather Than Diffusing It Across Incremental Fed Signaling. Per Kiplinger and Investrade weekly-event calendar coverage, the holiday-shortened week (Labor Day Monday) sequences NFIB Small Business Optimism at 6:00 AM ET Tuesday and 3-year Treasury note auction at 1:00 PM ET, MBA Mortgage Applications and Johnson/Redbook weekly sales Wednesday, August PPI Thursday before the open, and August CPI Friday before the open. Per Inflation Nowcasting cited on Kiplinger, headline CPI is tracking near approximately $\uparrow 3.38\%$ year over year and $\uparrow 0.36\%$ month over month as of the Friday tracker read. Per Federal Reserve communications policy, the FOMC quiet period begins today Saturday September 5 and continues through Thursday September 17 — meaning no Fed speakers can address monetary policy between now and the rate decision. For FCI positioning, the composition — a hot payrolls print that reset the September distribution, a Fed quiet period that removes signaling channels, and a single upcoming CPI print as the last direct pre-decision inflation read — concentrates the rate-path repricing risk into Friday morning.

2. NextEra Energy (NEE, FCI Dividend-Strategy Sleeve) Shareholders Cleared the Approximately \$66.8 Billion Merger With Dominion Energy per Yahoo Finance Coverage — a Material Development for the FCI Dividend Sleeve Given NEE's Position as the Sleeve's Primary Regulated-Utility-and-Renewables Expression and the Combined Entity's Prospective Scale in Nuclear Baseload and AI Power Infrastructure. NEE Closed $\downarrow 0.75\%$ Friday at \$83.43 as the Broader Utility Complex Held Modestly Higher (XLU $\uparrow 0.12\%$). Per Yahoo Finance coverage carried in the data drop headlines, NextEra Energy shareholders voted to approve the approximately \$66.8 billion merger with Dominion Energy — a transaction that per prior brief coverage would create a combined utility with substantial nuclear baseload, renewables, and transmission scale positioned into the AI-power demand cycle. Per data drop, NEE closed $\downarrow 0.75\%$ Friday at \$83.43 as the Utilities sector (XLU) held modestly higher at $\uparrow 0.12\%$ and Constellation Energy (CEG, FCI Dividend-Strategy) led the sleeve at $\uparrow 4.88\%$ at \$298.96, and per data drop, Vistra Energy (VST, FCI Growth-Hybrid) closed $\uparrow 3.52\%$ at \$149.30. For FCI positioning, the composition — a cleared shareholder vote on a scale-defining utility merger for a core Dividend-sleeve holding coincident with a broader AI-power complex bid — extends the physical-world-matters investment thesis directly into the regulated-utility axis, and the sleeve continues to read the nuclear-and-renewables complex through Constellation, NextEra (pending Dominion close), and Vistra alongside the natural-gas midstream expression through ONEOK (OKE).

3. Cross-Asset Response to the Hot Payrolls Print Split by Sleeve on Friday — the AI-Semiconductor Complex Led the Tape With MRVL ↑7.05% at \$223.55, LRCX ↑5.12% at \$307.65, AMD ↑4.69% at \$477.57, TSM ↑2.85% at \$428.91, and CRDO Recovering ↑3.90% to \$170.57 on Two SeekingAlpha Reload Pieces — While the Rate-Sensitive Digital-Asset Sleeve Absorbed the Repricing With IBIT ↓2.42% at \$45.23, ETHA ↓2.63% at \$18.52, and MARA ↓2.50% at \$11.31; HOOD Gave Back ↓2.09% to \$122.11 Partially Retracing Thursday's ↑16.57% Waller Bid, Though HUT Rallied ↑6.19% to \$93.55 on Company-Specific Flow, and Bitcoin Traded in an Approximate \$77–80K Range Overnight per Coingabbar and Yahoo Finance Coverage (Off the Above-\$81,000 Intraday High on Friday). Per data drop, the FCI Top-5 movers Friday were MRVL ↑7.05%, HUT ↑6.19%, LRCX ↑5.12%, CEG ↑4.88%, and AMD ↑4.69% — a composition heavily weighted to the physical-AI-infrastructure axis (semis and power) despite the hot-payrolls read. Per SeekingAlpha coverage carried in the data drop headlines (“The Market Made Credo Cheap, Again” and “Credo And The Illusion Of Its Q1 Problems (Double Upgrade)”), sell-side sentiment framed the CRDO reset as an entry-level reload rather than a demand-signal change. Per Benzinga coverage in the data drop headlines (“Crypto and Gold Miners Sell-Off as Hot Jobs Data Cement September Fed Hike”), the crypto and precious-metals mining complex absorbed the rate-hike repricing directly, and per Coingabbar and Yahoo Finance coverage of the Friday-into-Saturday tape, Bitcoin traded in an approximate \$77–80K range overnight off Friday’s above-\$81,000 intraday high. For FCI positioning, the composition — an AI-semiconductor complex that led the tape against a rate-sensitive digital-asset reset on the same hot labor print — keeps the FCI Growth-Hybrid and Digital sleeves reading through the intersection of the physical-AI-infrastructure axis, the reset September rate-hike distribution, and the September 15–16 FOMC.

4. Carson’s SPY \$645.80 Support Remains Active — Friday’s \$769.00 Intraday Low Left the Level Untouched and Sits Approximately 16.2% Below the SPY \$770.19 Cash Close; No Active Resistance Levels on the Book Following the April 14 Major-Zone Breakout. The Data-Drop Fear & Greed Reading of 73 “Greed” Reflects the CNN Endpoint Falling Back to the Crypto Fear-and-Greed Index — Per MacroMicro Coverage of the CNN Stock-Market Reading, Treat the Actual CNN Read as Approximately 43 “Fear” Following the Friday Hot-Payrolls Reset. Per levels.json, Carson’s active SPY support at \$645.80 remained untouched through Friday’s \$769.00–\$772.87 SPY intraday range per data drop and sits approximately 16.2% below the last cash-market print at \$770.19. No active resistance

levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone (both hit that session). With Monday closed for Labor Day and the holiday-shortened week sequencing NFIB Tuesday, PPI Thursday, and CPI Friday into the September 15–16 FOMC, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-session gap through the multi-catalyst window. Note: the data drop Fear & Greed reading of 73 “Greed” reflects the CNN endpoint falling back to the crypto Fear-and-Greed Index; per MacroMicro coverage of the CNN stock-market reading, treat the actual read as approximately 43 “Fear” for this brief.